

House File 2104

S-5001

1 Amend House File 2104, as passed by the House, as follows:

2 1. By striking everything after the enacting clause and
3 inserting:

4 <Section 1. NEW SECTION. **479B.1A Legislative intent.**

5 It is the goal of the general assembly that the right of
6 eminent domain will not be granted for a hazardous liquid
7 pipeline except when every other reasonably available
8 alternative has been diligently exhausted. Further goals of
9 the general assembly are to promote the production of energy,
10 derived from crops grown and resources gathered within the
11 state of Iowa, and elsewhere within the United States, to
12 ensure long-term, economically competitive and diverse sources
13 of energy for Iowans, for citizens of the United States,
14 and for our customers abroad; to support agriculture in the
15 state of Iowa, and the employment of Iowans in agricultural
16 work and in affiliated industries; to encourage investment
17 in Iowa agriculture, and in the facilities needed to process
18 our produce and to deliver useful products to consumers; to
19 provide reasonable conditions for the planning and construction
20 of linear infrastructure projects that will serve the public
21 convenience and necessity; and to vindicate and safeguard the
22 property rights of all Iowans, including those who prefer not
23 to accommodate the construction of a pipeline on their land,
24 as well as those who would choose to convey an easement for
25 valuable consideration in a voluntary transaction.

26 Sec. 2. Section 479B.2, Code 2026, is amended by adding the
27 following new subsection:

28 NEW SUBSECTION. 6. "*Voluntary easement corridor*" means land
29 within the county where an informational meeting is held or
30 within a distance of five miles on either side of a proposed
31 pipeline route.

32 Sec. 3. Section 479B.4, subsections 5 and 6, Code 2026, are
33 amended to read as follows:

34 5. a. The notice shall ~~set forth~~ include the following:

35 (1) The name of the applicant.

1 (2) The applicant's principal place of business.

2 (3) The general description and purpose of the proposed

3 project.

4 (4) The general nature of the right-of-way desired.

5 (5) A map showing the route or location of the proposed

6 project.

7 (6) ~~That~~ A statement that the landowner has a right to

8 be present at the meeting and to file objections with the

9 commission.

10 (7) A designation of the time and place of the meeting.

11 (8) A copy of the template easement to be used for acquiring

12 land for the project.

13 (9) A description of the methodology to be used in

14 determining the value of the easement for initial offers.

15 (10) A statement of the policy for claiming damages.

16 b. The notice shall be served by certified mail with

17 return receipt requested not less than thirty days previous

18 to the time set for the meeting, and shall be published once

19 in a newspaper of general circulation in the county. The

20 publication shall be considered notice to landowners whose

21 residence is not known and to each person in possession of or

22 residing on the property provided a good faith effort to notify

23 can be demonstrated by the pipeline company.

24 6. A pipeline company seeking rights under [this chapter](#)

25 shall not negotiate or purchase an easement or other interest

26 in land in a county known to be affected by the proposed

27 project prior to the informational meeting. Nothing in this

28 subsection shall prohibit a company seeking rights under this

29 chapter from holding a meeting to provide general information

30 regarding a project to a community that does not include

31 negotiating specific terms with specific landowners prior to

32 the informational meeting required by this section.

33 Sec. 4. Section 479B.4, Code 2026, is amended by adding the

34 following new subsection:

35 NEW SUBSECTION. 7. Any person may file with the commission

1 comments regarding the terms of the template easement or
2 valuation methodology within fifteen days after it is filed
3 under subsection 5. The company may file responses to such
4 comments within thirty days after its filings pursuant to
5 subsection 5. The commission shall issue an order accepting,
6 rejecting, or requiring modification of the template easement
7 and valuation methodology no more than sixty days after
8 they are filed. This process shall not delay either the
9 informational meetings or the company's ability to negotiate
10 with landowners, but no easement shall be finalized before the
11 template easement is approved.

12 Sec. 5. Section 479B.16, Code 2026, is amended by adding the
13 following new subsections:

14 NEW SUBSECTION. 4. *a.* Following the public informational
15 meeting held pursuant to section 479B.4 and proper publication
16 of notice required by section 479B.4, subsection 5, paragraph
17 "b", a pipeline company may communicate with owners of record
18 of any land within the voluntary easement corridor for the
19 purpose of proposing voluntary transactions for the conveyance
20 of easements for the project, without regard to whether such
21 landowner received prior notice by mail. The pipeline company
22 shall not be required to provide to such landowners prior
23 individual notice of the proposed project before initiating
24 communication.

25 *b.* Before entering into a voluntary agreement with a
26 landowner who did not receive notice of the informational
27 meeting by mail, the pipeline company shall provide such
28 landowner copies of the informational meeting materials
29 presented by the commission, the consumer advocate, and the
30 company seeking rights under this chapter.

31 *c.* In a pipeline company's initial communication with a
32 landowner, the company shall provide a written description of
33 the opt-out procedure described in paragraph "d".

34 *d.* A landowner may decline further communication with a
35 pipeline company concerning a possible transaction for easement

1 rights by providing verbal or written notice to the pipeline
2 company that states the landowner does not wish to discuss the
3 matter further, and by submitting to the commission notice
4 through mail or by electronic means stating the same. Upon
5 receipt of such notice from the landowner, the commission shall
6 forward a copy to the pipeline company. Such notice may be
7 given up to seven calendar days after the time a landowner is
8 provided with a written easement offer.

9 *e.* After receipt of notice by the landowner pursuant to
10 paragraph "d", the pipeline company shall not initiate further
11 contact with the landowner for the purpose of an easement
12 transaction, except that the company may send one or more
13 letters by certified mail to the landowner making an offer or
14 soliciting further communication. A landowner may rescind such
15 refusal by contacting the pipeline company and notifying the
16 commission no later than seven calendar days after the notice
17 of refusal. Unless the landowner rescinds the refusal, the
18 landowner's land shall be deemed unavailable for an easement
19 agreement.

20 NEW SUBSECTION. 5. *a.* This subsection shall apply only
21 to a hazardous liquid pipeline for which a pipeline company
22 requests authority to use eminent domain to acquire interests
23 in land.

24 *b.* For a hazardous liquid pipeline that is proposed to
25 exceed twenty miles in length within the state, the pipeline
26 company shall make a diligent effort to assemble a route
27 consisting exclusively of easements within the voluntary
28 easement corridor that are acquired through voluntary
29 conveyances. A pipeline company shall not be eligible to
30 request authority to use eminent domain except upon a showing
31 to the commission that it has made such diligent effort.

32 *c.* After initiating communication with a landowner
33 pursuant to subsection 4, a pipeline company shall provide a
34 landowner with a description of the proposed project and the
35 easement rights the company seeks to acquire, and shall request

1 permission to conduct a civil survey. If the permission for a
2 civil survey is granted, the pipeline company shall conduct the
3 civil survey within ninety business days.

4 *d.* If a civil survey conducted pursuant to paragraph "c"
5 finds the land is not suitable for purposes of the project,
6 the pipeline company shall promptly provide the landowner
7 with written notice of this finding and shall file with the
8 commission a copy of the notice. Otherwise, within ninety
9 business days of the completion of the civil survey, the
10 pipeline company may submit to the landowner a written offer
11 for purchase of the easement. The pipeline company shall,
12 before filing an application requesting eminent domain, submit
13 such an offer to the owners of land that might be used to
14 assemble a route not including the land for which eminent
15 domain is requested. The offer shall include customary terms
16 and conditions for the conveyance of easements, and shall also
17 include all of the following:

18 (1) A statement of the requirements applicable under the
19 laws of this state and rules adopted by the commission relating
20 to the construction, operation, and maintenance of a hazardous
21 liquid pipeline upon land subject to the proposed easement,
22 including land restoration, tile repair, and damages.

23 (2) A statement that the landowner and the pipeline company
24 may agree to different terms not contrary to Iowa law, but that
25 such provisions shall be set forth expressly in a contract for
26 conveyance of an easement.

27 (3) An offer of cash compensation for the easement, which
28 may differ in amount from the compensation offered to other
29 landowners for easements of similar dimensions on similar land.

30 *e.* The pipeline company shall seek to execute contracts
31 for the voluntary conveyance of easements within one year of
32 initial communication with the landowners within a particular
33 county. If, however, after no less than six months, the
34 company is unable to execute contracts for easements sufficient
35 to assemble a route for the pipeline, the company shall

1 file with the commission a notice setting forth all of the
2 following:

3 (1) The parcels for which the company has failed to reach
4 easement agreements and for which eminent domain is sought, or
5 that would, if an easement were granted, provide an alternative
6 to each eminent domain parcel, and the names of the owners of
7 those parcels.

8 (2) A list of the contacts made relating to each parcel
9 identified in subparagraph (1), including the date and method
10 of each contact, and a brief description of any issues causing
11 an impasse for that parcel.

12 (3) Either a request for an extension for further
13 negotiations or a statement that no agreement can be reached
14 for that parcel.

15 *f.* All data in the filing made under paragraph "e" shall
16 be held confidential and shall not be subject to disclosure in
17 response to a request under chapter 22.

18 *g.* For any easement that the pipeline company seeks to
19 acquire using eminent domain, the company shall file with the
20 commission all of the following:

21 (1) Evidence establishing that the company diligently
22 exhausted all alternatives to assemble a continuous route
23 for the project exclusively by means of voluntarily conveyed
24 easements, and that it was unable to do so for one or more of
25 the following reasons:

26 (a) Inability to obtain voluntary agreements for continuous
27 easements on adjoining parcels within a county where an
28 informational meeting was held, or outside that county but
29 within five miles of the center line of the proposed pipeline
30 route in that county, due to rejection by landowners of offers
31 based on a valuation methodology approved by the commission, or
32 due to the refusal of landowners to engage in communications
33 with the company pursuant to subsection 4, paragraph "d".

34 (b) Technical or engineering infeasibility of construction
35 in a specific location due to terrain, other natural features,

1 or land conditions.

2 (c) Infeasibility of compliance with safety requirements
3 relating to construction, operation, or maintenance of a
4 pipeline, under applicable federal law or rules, in a specified
5 location, due to terrain, other natural features or land
6 conditions, presence of occupied or other man-made structures,
7 or if the commission finds on engineering evidence that
8 safety would otherwise be adversely impacted by a route using
9 only voluntary easements and such safety would be materially
10 improved by use of a route facilitated by eminent domain.

11 (d) Economic infeasibility of the pipeline due to excessive
12 easement acquisition costs for alternative routes to avoid the
13 use of eminent domain. For purposes of this subparagraph,
14 economic infeasibility shall be shown by clear and convincing
15 evidence.

16 (2) A statement setting forth why the company requires an
17 easement on the specific parcel for which the company seeks
18 eminent domain.

19 h. Deadlines established by subsection 4 and this subsection
20 shall be subject to extension by the commission upon a showing
21 of good cause.

22 Sec. 6. EFFECTIVE DATE. This Act, being deemed of immediate
23 importance, takes effect upon enactment.

24 Sec. 7. APPLICABILITY — RETROACTIVE APPLICABILITY.

25 1. Except as provided in subsection 2, this Act applies to
26 the construction of any hazardous liquid pipeline for which a
27 petition is filed on or after the effective date of this Act.

28 2. a. Except as provided in paragraph "b", this Act applies
29 retroactively to the construction of any hazardous liquid
30 pipeline designed for the transportation of liquefied carbon
31 dioxide for which a petition is filed under chapter 479B on or
32 after January 1, 2024.

33 b. The portion of the section of this Act enacting
34 section 479B.16, subsection 4, applies retroactively to the
35 construction of pipelines designed for the transportation of

1 liquefied carbon dioxide for which a petition was filed under
2 chapter 479B on or after January 1, 2022.>

3 2. Title page, by striking lines 1 through 3 and
4 inserting <An Act relating to easements for hazardous liquid
5 pipelines, including negotiation requirements, eminent domain
6 authorization, and contract execution, and including effective
7 date, applicability, and retroactive applicability provisions.>

COMMITTEE ON COMMERCE

MIKE BOUSSELOT, CHAIRPERSON